Data Construction Methodology (June 2021)

The database records the economic integration of bilateral country pairings for 195 countries annually from 1950 through 2017. Depending on the level of economic integration, a country pairing was assigned a number code from 0 to 6. The codes are explained on the following table:

IIA Ranking	Type of Agreement	Type of Agreement	Definition
0	No Agreement	N/A	No preferential trade agreement
1	NR-PTA	Non Reciprocal Preferential Trade Arrangement	Preferential terms and customs concessions given by developed nations to developing countries
2	PTA	Preferential Trade Arrangement	Preferential terms to members vs. non-members
3	FTA	Free Trade Areas	Trade barriers eliminated (or substantially so) among members; treat non-members differently
4	CU	Customs Union	Same as FTA; but treat non-members the same
5	CM	Common Market	Same as CU; but also includes free movement of labor/capital
6	EUN	Economic Union	Same as CM, but also monetary and fiscal policy coordination; further harmonization of taxes/regulation/monetary system

No Country Entries

The "NoCty" cell designation is defined as a country-pair/year cell whereby at least one of the two countries in a pair either does not exist or does not have independence (and hence is not recognized as a “country”). The purpose of this entry is to delineate between a "0", which is used for cells that have been investigated and found to not have any economic integration agreement (EIA) versus instances where one or both countries are not countries (and hence cannot have an EIA) for the country-pair/year in question. The data source used for determining NoCty entries is the CIA *World Factbook* 2007-2008. By clicking on a NoCty hyperlink on the "Data Sheet" of the FTA data file, you will be sent to the "Comments & PDF Links" page. Here you will find copies of the CIA *World Factbook* documents used.

The following countries have recorded EIAs ***prior*** to the statement of their independence. Hence, for these countries, the status of “NoCty” has not been filled in, since the presence of an EIA is interpreted that the country “exists,” even though the CIA *World Factbook* indicates otherwise. Researchers may thus wish to construct an indicator for each of those countries listed above, for years of official independence.

The year of independence is recorded after each country name:

Bahamas (1973), Bermuda (1981), Cape Verde (1975), Comoros (1975), Dominica (1978), Guinea-Bissau (1974), Iran (1979), Micronesia (1986), Mozambique (1975), Namibia (1990), Palau (1994), Papua New Guinea (1975), Saint Kitts and Nevis (1983), Saint Lucia (1979), Saint

Vincent and the Grenadines (1979), Seychelles (1976), Solomon Islands (1978), Suriname (1975), Thailand (1975), Vanuatu (1980), Yemen (1968), Zimbabwe (1980).

Further, certain countries were not included in the set of 195 countries for a variety of reasons. Some were not included because of their size, while others, namely the former Yugoslavia and the Democratic People's Republic of Korea (North Korea), were not included because of their policy of self-reliance, which more or less forbade the two countries from participating in trade agreements with other countries.

World Trade Organization Database

A very important part of our research was to examine and classify accordingly all the trade agreements that had been notified to the World Trade Organization from 1950 to the beginning of 2017. For each agreement, we determined the level of economic integration between the involved countries, the year the agreement came into effect, and the current status of integration. In most cases, the WTO webpage included a link to where we could find a PDF copy of the agreement and a copy of the notification letter sent by the notifying parties to WTO. For the cases in which the agreement was not found directly within WTO we were able to retrieve the agreements from other sources, such as web pages of country governments, World Trade Law (http://www.worldtradelaw.net/fta/ftadatabase/ftas.asp), and the Tuck Trade Agreements Database at the Tuck School of Business at Dartmouth University (http://www.dartmouth.edu/~tradedb/index.php).

Council of the European Union

A critical resource for recording the agreements between the European Union and other parties around the world was the Council of the European Union. This website lists the bilateral relationships between the European Union and third parties on an individual country basis. These relationships were recorded with varying, although usually sufficient, levels of documentation, although outside sources were occasionally consulted for verification. These outside sources included individual country websites, websites of regional agreements, and the WTO and Tuck Databases. Relevant treaties from the Council of the European Union are included in our database with links to primary source documentation.

http://www.consilium.europa.eu/

Tuck Trade Agreements Database

The Tuck Trade Agreements Database served as a supplement to the WTO trade agreements listing. Put out by the Center for International Business at the Tuck School of Business at Dartmouth, this database has a listing comprised only of free trade agreements and provides PDFs of the original treaties. Additional research was conducted to determine if the treaty went into force and the date on which that happened. All treaties within the Tuck Trade Agreements Database as of April 2021 are included in the database if they went into force before July 2017.

http://www.dartmouth.edu/~tradedb/index.php

SICE the Organization of American States Foreign Trade Information System

The SICE database supplemented WTO trade agreements for countries in the Americas. Compiled by the Organization of American States, SICE includes documents on national trade policy, trade agreements, bilateral investment treaties, links to relevant national agencies, and trade and tariff data. All of the agreements listed in the SICE database as of April 2021 are included in the database if they went into force before July 2017.

http://www.sice.oas.org

USA GSP

The countries that are eligible for treatment as beneficiaries under the United States Generalized System of Preference are categorized from the beginning of the program in 1976 to 2020. While the Trade Act of 1974 created the system, it was not implemented until 1976. The Trade Act granted the President the authority to designate and remove beneficiary status to countries eligible as proscribed by law. The designation of a country's status is modified by a Presidential Proclamation or Executive Order in the U.S. Federal Register. As a result, the Federal Register was search from 1976 to 1979 using HeinOnline.com and from 1980 to 2011 using Lexis.com for applicable proclamations and executive orders referencing the GSP program. Copies of the document bestowing beneficiary status are contained in the data set. If the beneficiary status is removed from a country, the document doing so is also contained in the data set. Updates to the GSP program after 2011 up to 2017 were made as necessary according to https://ustr.gov/sites/default/files/gsp/GSPGuidebookcountries.pdf

This process was also applied to the African Growth and Opportunity Act, Andean Trade Preference Act, and Caribbean Basin Initiative, which expanded the benefits granted by the GSP program. For the prior three acts, in addition to the U.S. Federal Register research was supplemented by https://agoa.info/data/trade.html and https://ustr.gov/issue-areas/preference-programs

EU GSP

The countries that are eligible for treatment as beneficiaries under the European Union Generalized System of Preferences are categorized from the beginning of the program in 1976 to 2017. The European Union cites the UN as the original motivation and resolution that preferential treatment needed to be given to developing countries. As a principle, this was accepted by the European Union countries in 1968. The European Union states that the GSP system was first in place in 1971, with the period of 1971 to 1981 being covered by the first agreements. However, in practice, the European Union passed annual resolutions that identified both the scope of the GSPs (which items were covered) as well as the countries which were currently deemed as developing and in need of preferential treatment.

Data was collected from the Official Journal of the European Communities. The first GSP reference we found in the written Official Journal of the European Communities was in the 1976 Official Journal of the European Communities, in L349. The prime source document contains the 1976 GSP resolution, followed by the annual developing country list appendix for every year in which there was an addition or subtraction from the list. Countries in the European Union Generalized System of Preferences were added according to their admittance into the European Union and similarly dropped from preferential treatment when no longer part of the European Union community. Due to lack of online historical data, in regard to the Official Journal of the European Communities, data collection prior to 1993 was collected via hard copy and copied into PDF format for reference.

https://ec.europa.eu/trade/policy/countries-and-regions/development/generalised-scheme-of-preferences/

Other GSP Agreements

Other country-specific GSP agreements were gathered from a variety of sources, using primarily the UNCTAD (United Nations Conference on Trade and Development) GSP Handbooks as a starting point. Further, a list of 7 national GSP schemes (aside than the ones already listed above), was obtained from the UNCTAD website, and further research was conducted to find primary documents that clarified the exact GSP agreements for each of these countries.

https://unctad.org/topic/trade-agreements/generalized-system-of-preferences

As of May 2021, we believe we've included all GSP agreements for WTO member countries (conditioned on the assumption that such countries would notify the WTO of such agreements).

NB: As reflected in the document, some country pairs both give and receive GSP. This applies to Cyprus-Belarus (2004-2012), Belarus-Turkey (2010-2012), and Russia-Turkey (2010-2012).

Bilateral Trade Flows

We also utilized bilateral trade flow in dollar terms to automatically establish that there were no trade agreements between a country pair when we had no specific information of the existence of an agreement. First, if a country pair did not have any trade in any year, it was concluded that the country pair consequently did not have an agreement. Second, it was also concluded that if a country pair did have trade for some years but did not have trade for multiple years (for example, a country pair had no trade from 1960-1989, and then no trade in 2006, 2009, and 2010) that country pair also did not have any trade agreements. This was only utilized on country pairs we did not have information on and did not have any impact on country pairs for whom we had already gathered information indicating the existence or lack of trade agreements. Overall, by using this first method on an older data sheet (one that only detailed 1960-2012), we were able to establish that there were no trade agreements between approximately 26.77% of the country pairs. Then, extending the data sheet back to 1950, using the second method, we were further able to establish that there were no trade agreements for an additional 12.52% of the country pairs. This left us with approximately 1.4% of all country pair and year combinations for which we could not be *absolutely* certain that there was no agreement between the country pair in that specific year. However, given the depth of our research, we must operate under the assumption that if we have not discovered a trade agreement between that specific country pair, in all likelihood a trade agreement does not exist.